

misuse, personal privacy infringements, and the spread of disinformation. He further adds that distinguishing between real and AI-generated content could become increasingly challenging, creating potential avenues for misinformation and manipulation.

In April this year, members of the European Parliament agreed to push the draft of the AI Act to the trilogue stage, wherein EU lawmakers and member states will work out the final details of the bill. According to the early EU agreement, AI tools will be classified according to their perceived risk level, taking into account risks like biometric surveillance, spreading misinformation, or discriminatory language. Those using high-risk tools will need to be highly transparent in their operations. Companies deploying generative AI tools, such as ChatGPT or Midjourney, will also have to disclose any copyrighted material used to develop their systems. According to a Reuters report, some committee members initially proposed banning copyrighted material being used to train generative AI models altogether, but this was abandoned in favour of a transparency requirement.

Speaking of misinformation reminds us of two recent episodes that left the world wondering who is to be sued if ChatGPT generates wrong information! In April this year, Australian mayor Brian Hood threatened to sue OpenAI, which spread false information that he had served time in jail for his involvement in a bribery scandal.

Elsewhere in the world, a man collided with a serving cart and hurt his knee on a flight to New York. He sued the airline, Avianca, for the mishap. In his brief, the man's lawyer cited ten case precedents suggested by ChatGPT, but when the airline's lawyers and the

judge verified them, it turned out that not even one of the cases existed! The lawyer who created the brief pleaded mercy, stating in his affidavit that he had done his legal research using AI, "a source that has revealed itself to be unreliable."

India and AI: Innovative uses and ambitious plans

Well, there is no denying that this is turning out to be the year of AI. It is spreading its wings like never before—at a speed that many are uncomfortable with. True, there are some fearsome misuses that we must contend with. But hopefully, as countries take a more balanced view and put regulations in place, things will improve. So, we will end this month's AI update on a more positive note, because that is the dominant tone in India as of now. The country is upbeat about the opportunities that AI opens, and raring to face the challenges that come with it.

We keep reading about AI tech being born in India's startups, about the smart use of AI by enterprises, government initiatives to promote AI, and much more. Recently, our Union Ministry of Communications conducted an AI-powered study of 878.5 million mobile connections across India, and found that 4.087 million numbers were obtained using fake documents. Many of these were in sensitive geographies like Kashmir, and were promptly deactivated by the respective service providers. If that is not impactful, then what is!

Soon after the Prime Minister's awe-inspiring talks in the US, the Uttar Pradesh government announced plans to develop five major cities—Lucknow, Kanpur, Gautam Buddha Nagar (Noida), Varanasi, and Prayagraj (Allahabad) as future hubs of AI, information technology (IT), and IT enabled

services. Lucknow is likely to emerge as India's first 'AI City.'

On another note, Sam Altman of OpenAI created quite a stir in social media after his unthoughtful comments at an event in India, during his visit in June. Venture capitalist Rajan Anandan, a former Google India head, asked Altman for a spot of guidance for Indian startups—on building foundational AI models, how should we think about it, where should a team from India start, to build something truly substantial, and so on. Altman replied, "The way this works is, we're going to tell you, it's totally hopeless to compete with us on training foundation models, you shouldn't try, and it's your job to like try anyway. And I believe both of those things. I think it is pretty hopeless." He did try to mop up the mess by saying the statements were taken out of context and that the question was wrong, but what ensued on social media was nothing short of a riot! He elicited quite a few interesting replies, one of the best being by CP Gurnani of Tech Mahindra: "OpenAI founder Sam Altman said it's pretty hopeless for Indian companies to try and compete with them. Dear @sama, from one CEO to another... CHALLENGE ACCEPTED."

According to a NASSCOM research published in February this year, India has the second biggest pool of highly qualified AI, machine learning, and big data expertise behind the United States. It produces 16% of the world's AI talent pool, putting it in the top three talent marketplaces with the United States and China. No doubt, our Indian minds are contributing to some of the major AI breakthroughs all over the world. Put to good use, perhaps we can even prove Sam Altman of OpenAI wrong! **EFY**